آغا خان یونیورسٹی ایگزامینیشن بورڈ

AGA KHAN UNIVERSITY EXAMINATION BOARD

Notes from E-Marking Centre on SSC-II Principles of Accounting Annual Examinations 2025

Introduction

This document has been produced for the teachers and candidates of Secondary School Certificate (SSC) Part II Principles of Accounting. It contains comments on candidates' responses to the 2025 SSC-II Examination indicating the quality of the responses and highlighting their relative strengths and weaknesses.

E-Marking Notes

This includes overall comments on candidates' performance on every question and *some* specific examples of candidates' responses that support the mentioned comments. Please note that the descriptive comments represent an overall perception of the better and weaker responses as gathered from the e-marking session. However, the candidates' responses shared in this document represent some specific example(s) of the mentioned comments.

Teachers and candidates should be aware that examiners may ask questions that address the Student Learning Outcomes (SLOs) in a manner that requires candidates to respond by integrating knowledge, understanding and application skills they have developed during study. Candidates are advised to read and comprehend each question carefully before writing the response to fulfil the demand of the question.

Candidates need to be aware that the marks allocated to the questions are related to the answer space provided on the examination paper as a guide to the length of the required response. A longer response will not in itself lead to higher marks. Candidates need to be familiar with the command words in the SLOs which contain terms commonly used in examination questions. However, candidates should also be aware that not all questions will start with or contain one of the command words. Words such as 'how', 'why' or 'what' may also be used. It is imperative to refer to the command word guide available on AKU-EB website for understanding the expectations of the command word.

General Observations

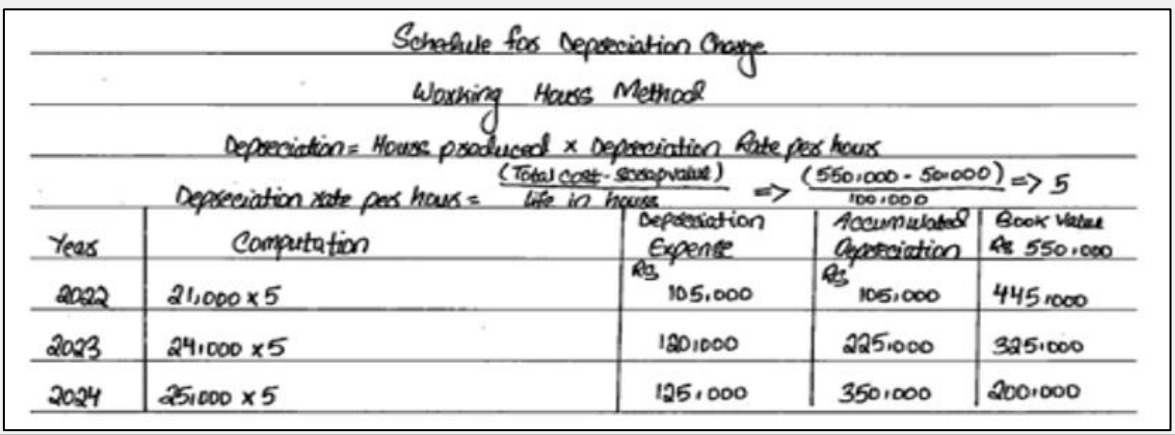
Students' performance showed a clear split between strong and weak understanding. Many did well on straightforward calculations like depreciation, gross profit, and profit margins, where they could apply formulas directly. However, they struggled with more complex tasks like adjusting entries, error correction, bad debt concepts, and NPO accounting, which required deeper analysis and multiple steps. Some of the students had struggled with the theory concepts of NPO.

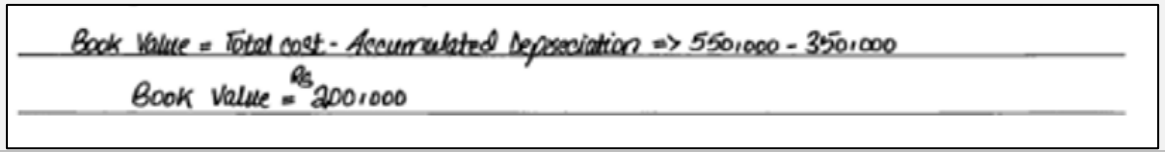
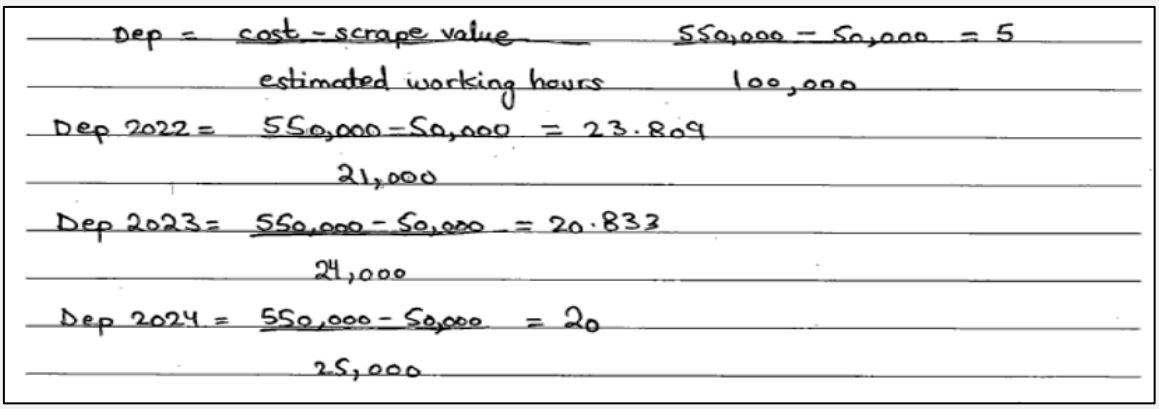
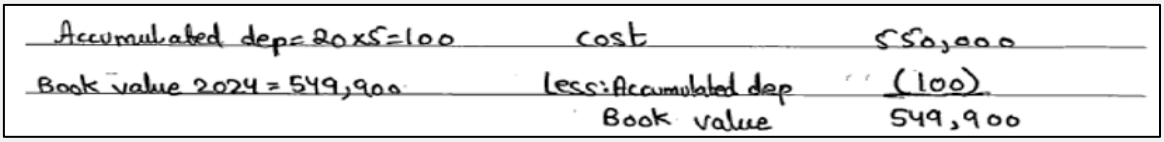
Common issues included confusing basic concepts, using incorrect formulas, or missing key adjustments. For example, many mixed up cash and accrual accounting or failed to adjust for existing balances. These patterns suggest that while routine skills are well-learned, critical thinking and application in tougher topics need more focus in teaching.

Note: Candidates' responses shown in this report have not been corrected for grammar, spelling, format, or information.

DETAILED COMMENTS

Constructed Response Questions (CRQs)

Question No. 1	
Question Text	Allied Manufacturing Company has purchased a machine for Rs 550,000 on January 1, 2022. The machine's estimated useful life is 100,000 hours, and its expected salvage value at the end of its useful life is Rs 50,000. The given information represents the machine's yearly consumption: **Year** — **Hours consumed by machine** 2022 — 21,000 hrs 2023 — 24,000 hrs 2024 — 25,000 hrs a. Compute the depreciation by the 'working-hour method' for the year 2022, 2023 and 2024. b. Compute the book value for the year 2024.
SLO No.	6.1.2
SLO Text	Calculate depreciation using a. hours method b. units' method c. sum of year digit method.
Max Marks	5
Cognitive Level	A
Checking Hints	Give ONE mark to calculate per hour depreciation. Give ONE mark each to calculate depreciation for three years (THREE required) Give ONE mark to calculate the book value.
Overall Performance	The overall performance on this question was good. The majority number of candidates successfully applied the working-hour method to calculate the depreciation expense for each year and accurately determined the closing book value. This indicates that most were well-prepared and understood the key mechanics of this depreciation approach. However, a small group of candidates struggled significantly with the core concepts, resulting in no marks being awarded. This suggests a clear gap in understanding for some, contrasting with the high performance of the majority.
Description of Better Responses	*Better responses* began by correctly calculating the depreciable amount (Rs 550,000 - Rs 50,000 = Rs 500,000) and the depreciation rate per hour (Rs 500,000 / 100,000 hrs = Rs 5 per hour). They then accurately applied this rate to the annual usage: Rs 105,000 for 2022 (21,000 hrs * Rs 5), Rs 120,000 for 2023 (24,000 hrs * Rs 5), and Rs 125,000 for 2024 (25,000 hrs * Rs 5). For part (b), these candidates accurately summed the depreciation for all three years (Rs 105,000 + Rs 120,000 + Rs 125,000 = Rs 350,000) and subtracted it from the original cost to clearly state the 2024 book value (Rs 550,000 - Rs 350,000 = Rs 200,000). Their answers were well-structured and included all necessary calculations.
Image of Better Response	a.  Schedule for Depreciation Charge Working Hours Method Depreciation = Hours produced x Depreciation Rate per hours Depreciation rate per hours = (Total cost - scrap value) / life in hours => (550,000 - 50,000) / 100,000 => 5 Years | Computation | Depreciation Expense | Accumulated Depreciation | Book Value Rs 550,000 2022 | 21,000 x 5 | Rs 105,000 | Rs 105,000 | 445,000 2023 | 24,000 x 5 | 120,000 | 225,000 | 325,000 2024 | 25,000 x 5 | 125,000 | 350,000 | 200,000

	b. 
Description of Weaker Responses	*Weaker responses* shown a critical misunderstanding of the method's formula. The candidates incorrectly recalculated the rate per hour for each year using that year's hours in the denominator (e.g., for 2022: (550,000-50,000)/ 21,000), instead of using the pre-determined rate based on total estimated hours. This resulted in a unique and incorrect rate for each year (e.g., 23.81, 20.83, 20). For part (b), the candidates approach were completely imperfect, attempting to calculate accumulated depreciation by multiplying an undefined number (80) by the rate (5), and then subtracting a random value (100) from the cost. The calculations were unable to demonstrate any understanding of the task.
Image of Weaker Response	a.  b. 

Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	Preferred Pedagogy** Used for this SLO	Assessment Strategies
• Identify the expectation of command words (use Command Word Guide) • Ensure the content is taught at the relevant cognitive level • Identify necessary content required (skills + concepts) • Review past paper questions on the concept • Utilise the resource guide for additional materials	• Story Board • Cause and Effect • Fish and Bone • Concept Mapping • Audio Visual Resources • Think, Pair and Share • Knowledge Platform videos • *- • Practical Demonstration ** For description of each Pedagogy, refer to Annexure A	• Past paper questions • Discussion on E-Marking Notes

Any Additional Suggestion:

Addressing Common Misconceptions:

- Provide targeted exercises that contrast the units-of-activity method with straight-line and diminishing balance methods to prevent confusion.
- Use worked examples to highlight and correct the specific error of recalculating the rate annually with that year's consumption.
- Incorporate practical problems where students must track depreciation expense and accumulated depreciation in a table over multiple years to see how they interconnect.

*K = Knowledge U = Understanding A = Application and other higher-order cognitive skills

Question No. 2

Question Text

The aging schedule of the trade receivable (accounts receivable) of United Traders is as follow.

United Traders					
Schedule of Trade Receivable (Accounts Receivable)					
Customer	**Total**	**Current**	**31 to 60 days**	**60 to 90 days**	**90 days and above**
Ruby Associates	30,000	10,000	10,000	5,000	5,000
Alpha Brothers	35,000	15,000		10,000	10,000
Al-Hamd and Sons	45,000	15,000	15,000	15,000	
Rabian Associates	50,000	20,000	10,000	10,000	10,000
Samiyan Traders	40,000	20,000	5,000	10,000	5,000
Total	**200,000**	**80,000**			

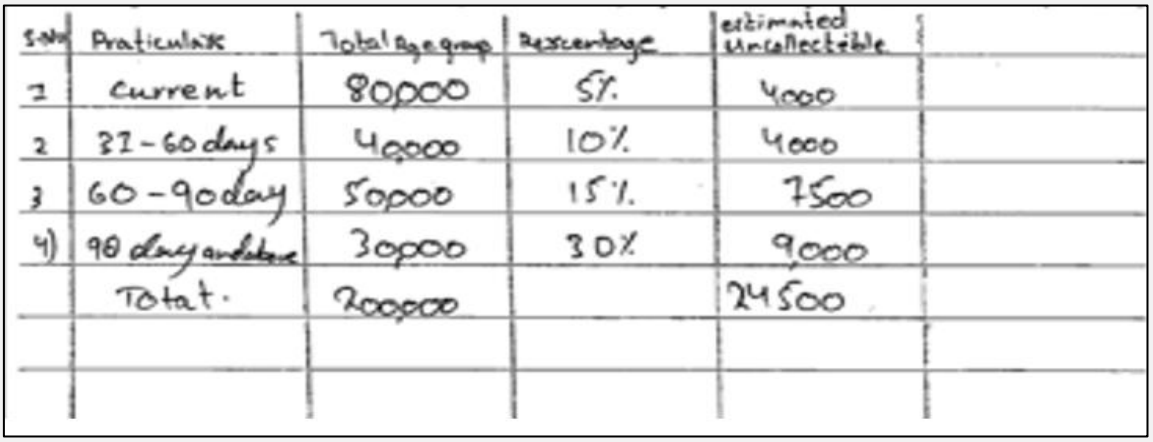
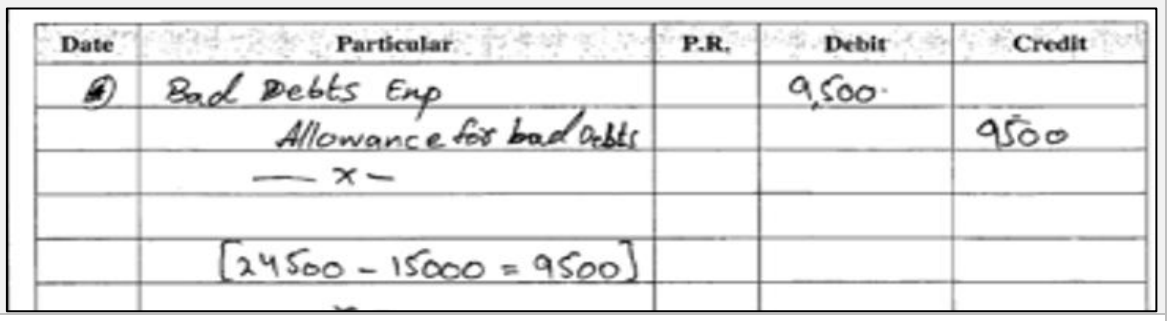
At the end of year 2024, the balance in trade receivable (accounts receivable) was Rs 200,000 and provision (allowance) for bad debts (doubtful debts) was Rs 15,000.

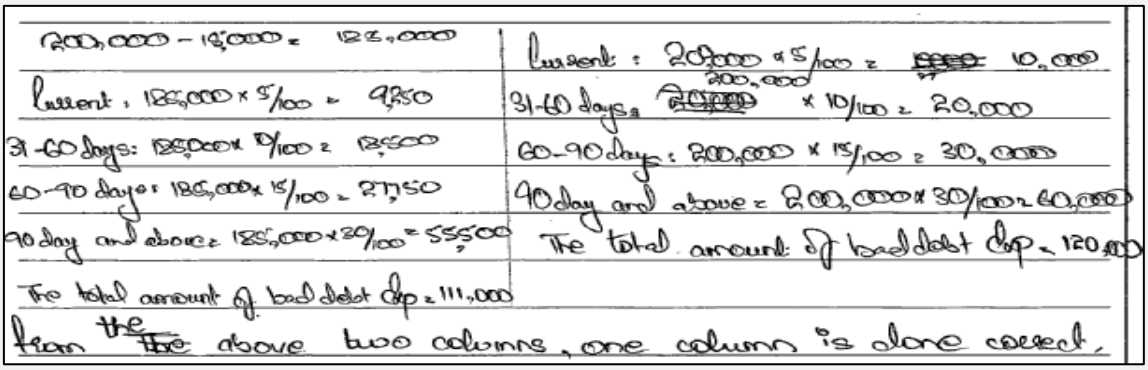
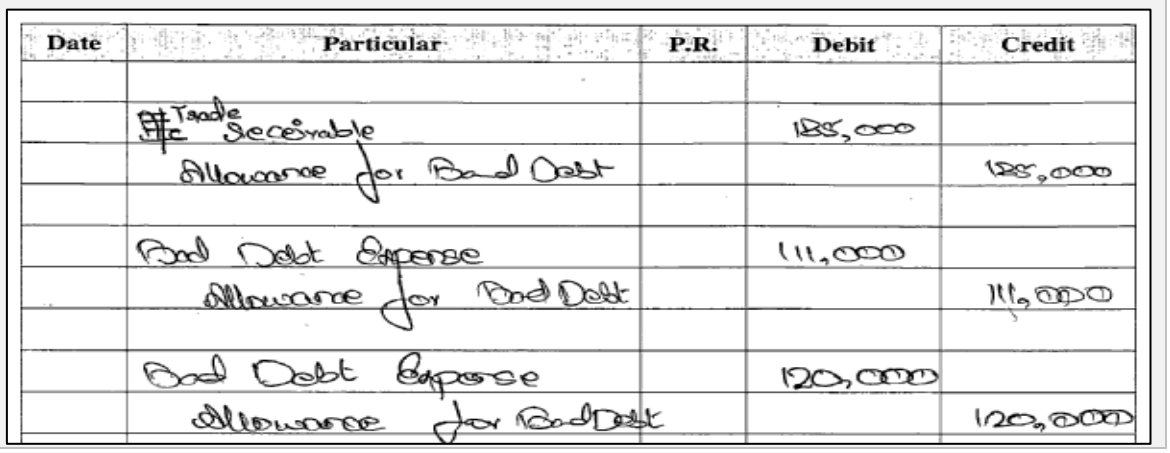
The following policy is adopted for the trade receivable (accounts receivable) aging rates.

Particulars	**Rates for trade receivable (account receivable)**
Current	5%
31 - 60 days	10%
60 - 90 days	15%
90 days and above	30%

a. Compute the amount of bad debts (doubtful debts) expense for the year 2024.
b. Prepare adjusting general journal entry for the bad debts (doubtful debts) for the year 2024.

SLO No.	6.4.3
SLO Text	Compute the amount of bad debts through the aging method.
Max Marks	5

Cognitive Level	A
Checking Hints	Give ONE mark for right totaling of age group account receivable balances (last three columns). Give ONE mark to calculate age group wise allowance for bad debts by applying the group wise percentages. Give ONE mark to total the age group wise allowance for bad debts. Give ONE mark to either subtract the allowance for bad debts (credit balance) from total allowance for bad debts or to compute bad debts expense for the year without showing allowance for bad debts (credit balance). Give ONE mark to make correct adjusting entry either by correct amount or by own figure rule.
Overall Performance	The performance on this question revealed a distinct division within the cohort. A notable minority of candidates demonstrated complete command of the topic, achieving full marks. On the other hand, a significant group found the question extremely challenging and were unable to score. Most candidates fell between these two extremes, showing a partial understanding but making errors in the multi-step calculation or the adjustment for the existing provision, which prevented them from securing full credit.
Description of Better Responses	*Better responses* began by accurately applying the given rates to each category of the aging schedule to calculate the total required provision for the year-end (Rs 24,500). They then correctly identified that the existing provision was a credit balance of Rs 15,000 that needed to be considered. They precisely calculated the doubtful debts expense by finding the difference (Rs 24,500 - Rs 15,000 = Rs 9,500). Finally, they prepared a perfectly formatted journal entry, debiting the Doubtful Debts Expense account and crediting the Provision for Doubtful Debts account for the correct amount.
Image of Better Responses	a.  b. 
Description of Weaker Responses	*Weaker responses* were characterised by a fundamental misunderstanding of the process. Many candidates applied the bad debt rates directly to the total receivables amount of Rs 200,000, ignoring the aging categories entirely. A very common error was to use the new provision of Rs 24,500 directly as the expense, failing to adjust for the existing Rs 15,000 balance. The journal entries were often incorrect, with many candidates debiting the

	Provision for Doubtful Debts account instead of the expense account. Some responses were incomplete or did not attempt the journal entry.
Image of Weaker Responses	a.  b. 

Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	**Preferred Pedagogy Used for this SLO**	**Assessment Strategies**
• Identify the expectation of command words (use Command Word Guide) • Ensure the content is taught at the relevant cognitive level • Identify necessary content required (skills + concepts) • Review past paper questions on the concept • Utilise the resource guide for additional materials	• Story Board • Cause and Effect • Fish and Bone • Concept Mapping • Audio Visual Resources • Think, Pair and Share • Knowledge Platform videos • Questioning Technique (Socratic approach) • Practical Demonstration	• Past paper questions • Discussion on E-Marking Notes
Any Additional Suggestion: • **Step-by-Step Approach:** Teach students to solve this problem in distinct, labelled steps: 1) Calculate total required provision, 2) Compare it to the existing balance, 3) Determine the expense amount, 4) Prepare the journal entry.		

Question No. 3

Question Text

The following data is extracted from the books of Orient Traders.

Particulars	Debit	Credit
Prepaid rent	75,000	
Advertisement expense	50,000	
Office supplies	50,000	
Commission income		150,000
Salaries expense	75,000	

Data for adjustment

- Prepaid rent balance Rs 25,000
- Prepaid advertisement Rs 20,000
- Office supplies expense for the year Rs 35,000
- Unearned commission for the year Rs 35,000
- Salaries payable amounted to Rs 25,000

Prepare the adjusting entries for the given data.

SLO No.	7.2.2
SLO Text	Prepare adjusting entries for following: a. prepayments/ prepaid expenses b. accruals/ accrued expenses c. provision (allowance) for depreciation d. provision (allowance) for doubtful debts.
Max Marks	5
Cognitive Level	A
Checking Hints	Give ONE mark each for correct adjusting entry irrespective of amount whether correct or wrong.
Overall Performance	Performance on this question was challenging for the cohort. While a small group of candidates demonstrated a thorough understanding and correctly prepared all adjusting entries, a significant majority found this task difficult. A notable number of candidates were unable to score any marks, indicating a fundamental gap in understanding the purpose and mechanics of adjusting entries. Common issues included confusion between prepaid expenses and accrued expenses, and difficulty in calculating the correct adjustment amounts.
Description of Better Responses	*Better responses* correctly identified the required adjustment for each item by comparing the unadjusted trial balance figures with the given end-of-period data. They accurately calculated the expense to be recognised for prepaid rent (Rs 75,000 - Rs 25,000 = Rs 50,000), prepaid advertisement (Rs 20,000), and office supplies expense (Rs 35,000). For unearned commission (Rs 35,000) and recognised the liability reduction. They also correctly accounted for accrued salaries by recognising the payable. All journal entries were prepared with correct debits and credits entries.

Image of Better Response

Date	Particular	P.R.	Debit	Credit
1)	Rent Expense		50,000	
	Prepaid Rent (75,000 - 25,000)			50,000
	(To adjust rent exp).			
2)	Prepaid advertisement		20,000	
	advertisement exp			20,000
	(To adjust advertisement prepaid)			
3)	Office supplies expense		35,000	
	Office supplies			35,000
4)	Commission income		35,000	
	Un-earned commission			35,000
	(To adjust commission income)			
5)	Salaries expense		25,000	
	salaries payable			25,000
	(To adjust salaries exp/payable).			

Description of Weaker Responses

Weaker responses showed several critical errors. Many candidates struggled to distinguish between asset and expense treatment for prepaid items, often failing to reduce prepaid accounts and recognise expenses. Some incorrectly created new expense accounts without adjusting the prepaid balances. For unearned commission, a common mistake was to debit prepaid commission instead of recognising the unearned revenue liability. Many candidates omitted the accrued salaries entry entirely or recorded it incorrectly by debiting salaries payable. Some responses showed confusion in the direction of adjustments, often reversing debits and credits.

Image of Weaker Response

Date	Particular	P.R.	Debit	Credit
1.	Prepaid Rent		501000	
	Rent Expense			501000
	— x —			
2.	Advertisment Exp		201000	
	Advertisment Payable			201000
	— + —			
3.	Prepaid office supplies		351000	
	office supplies Expense			351000
	— + —			
4.	Prepaid Commission		351000	
	Commission Exp			351000
	— + —			
5.	Salaries Expense		251000	
	Salaries Payable			251000

Suggestions for improvement (Highlight all that apply)

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Any Additional Suggestion:

- **Adjustment Framework:** Teach a systematic approach to adjusting entries: 1) Identify original balances, 2) Compare with ending data, 3) Calculate adjustment amount, 4) Determine correct accounts to debit/ credit.
- **Real-world Examples:** Use practical business examples to demonstrate why adjustments are necessary and how they affect financial statements.

Question No. 4

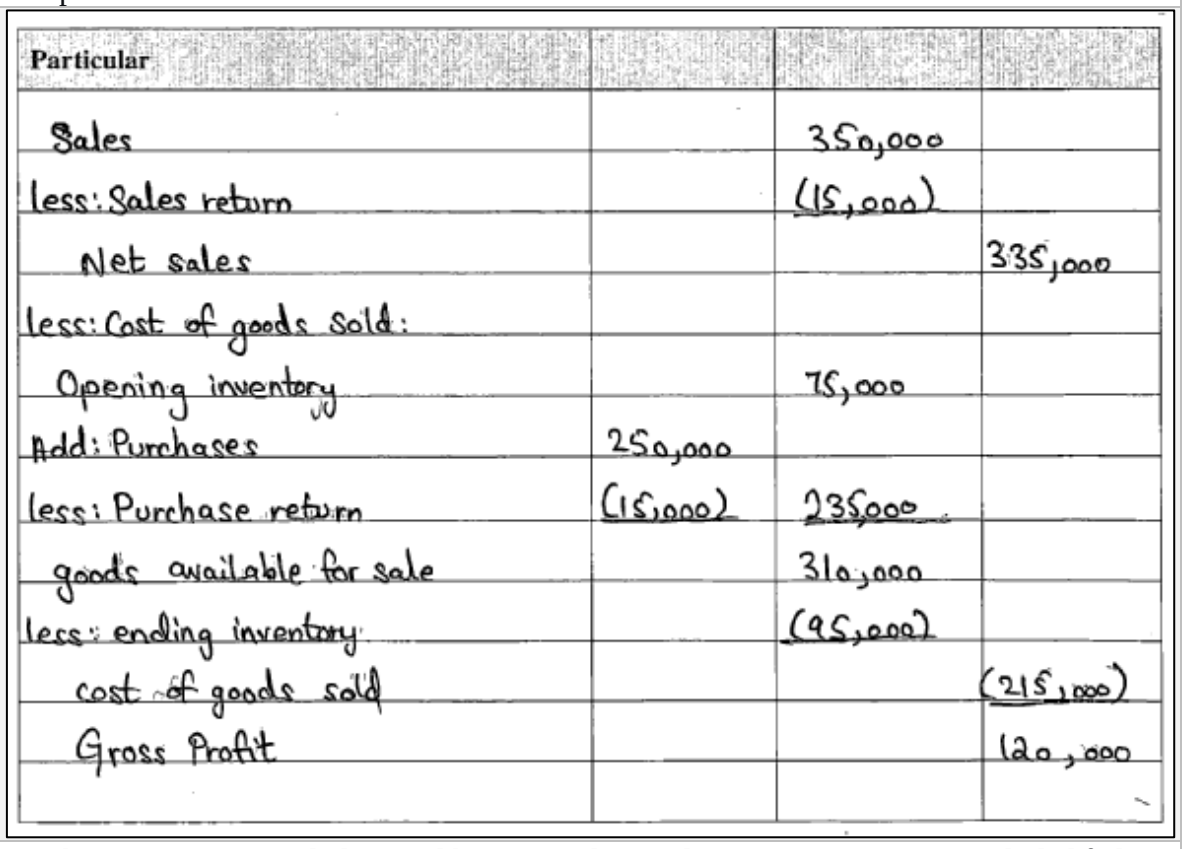
Question Text

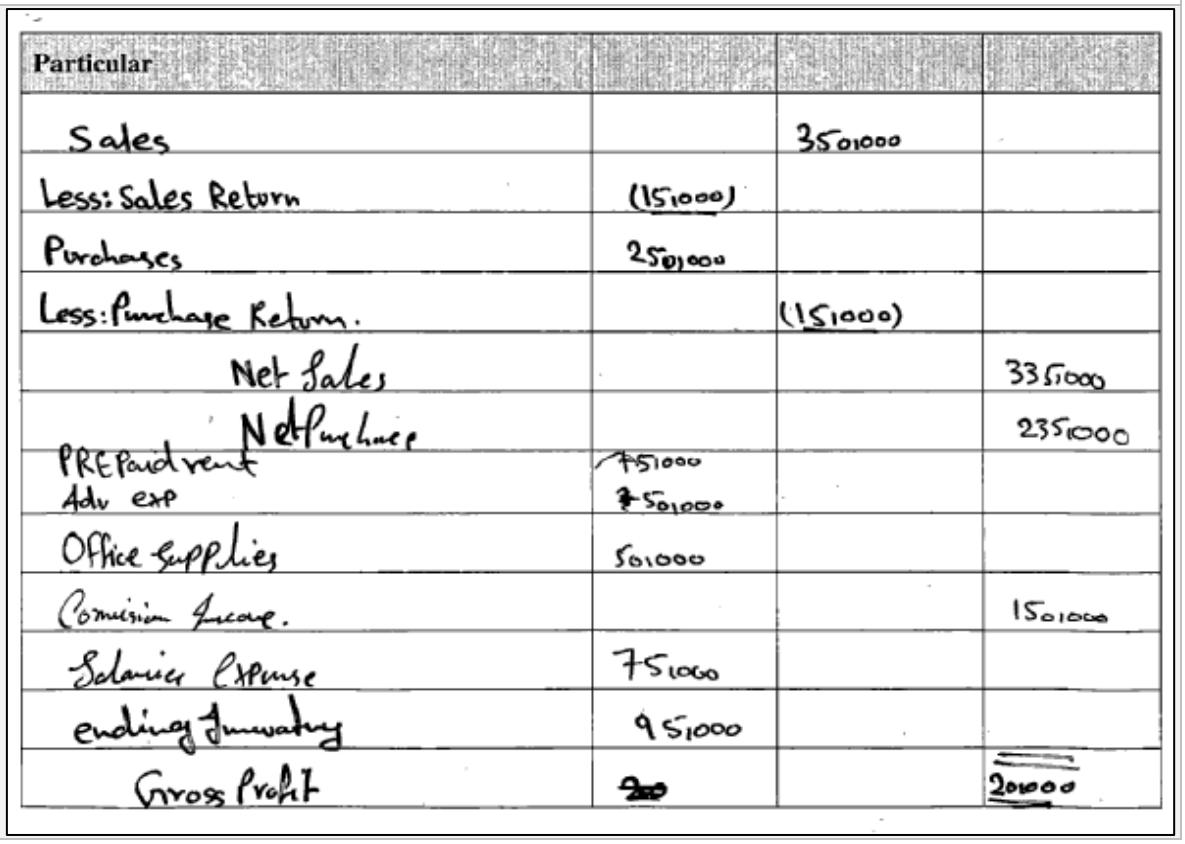
The following data is extracted from the books of Atlas Traders.

Particular	Debit	Credit
Sales		350,000
Sales returns	15,000	
Purchases	250,000	
Purchases returns		15,000
Inventory (Stock) opening	75,000	
Prepaid rent	75,000	
Advertisement expense	50,000	
Office supplies	50,000	
Commission income		150,000
Salaries	75,000	

Other information:
Ending inventory (stock) Rs 95,000
Compute the 'gross profit' by preparing partial income statement.

SLO No.	7.1.4
SLO Text	Prepare income statement in classified form including adjustments.

Max Marks	5
Cognitive Level	A
Checking Hints	Give ONE mark for computing correct net sales. Give ONE mark for computing correct net purchases. Give ONE mark for computing cost of goods available for sale (either correct or own figure rule). Give ONE mark for showing deduction of ending inventory. Give ONE mark for computing gross profit (either correct or own figure rule).
Overall Performance	The performance on this question was generally better, with a clear majority of candidates demonstrating competence in preparing a partial income statement to calculate gross profit. Over half of the cohort successfully executed all required steps to arrive at the correct solution and secured full marks. However, a very small group of candidates struggled significantly with the fundamental concepts, resulting in no marks. The high success rate indicates that most candidates were well-prepared on this core accounting topic.
Description of Better Responses	*Better responses* methodically presented the calculation in a clear partial income statement format. They correctly began with net sales (Rs 350,000 - Rs 15,000 = Rs 335,000) and accurately computed the cost of goods sold by adjusting opening inventory (Rs 75,000) and purchases (Rs 250,000 - Rs 15,000 = Rs 235,000) for the closing inventory (Rs 95,000), arriving at a cost of goods sold of Rs 215,000 (Rs 75,000 + Rs 235,000 - Rs 95,000). They then correctly subtracted this from net sales to calculate the gross profit of Rs 120,000 (Rs 335,000 - Rs 215,000). The working was well-organised and included all necessary components.
Image of Better Response	
Description of Weaker Responses	*Weaker responses* revealed several key misunderstandings. Common errors included failing to adjust sales for returns to calculate net sales, and/ or failing to adjust purchases for returns to calculate net purchases. Many candidates incorrectly calculated cost of goods sold by omitting the opening inventory or failing to deduct the closing inventory. Some used the wrong figures entirely, confusing sales with purchases or returns. A few candidates included irrelevant items from the list, such as prepaid rent or salaries, in the gross profit calculation,

	indicating a lack of understanding about which items belong in the income statement's first section.
Image of Weaker Response	

Particular			
Sales		3501000	
Less: Sales Return	(151000)		
Purchases	2501000		
Less: Purchase Return.		(151000)	
Net Sales			3351000
Net Purchase			2351000
PREPaid rent	751000		
Adv exp	3501000		
Office Supplies	501000		
Comission Income.			151000
Salaries Expense	751000		
ending Inventory	951000		
Gross Profit	~~200~~		201000

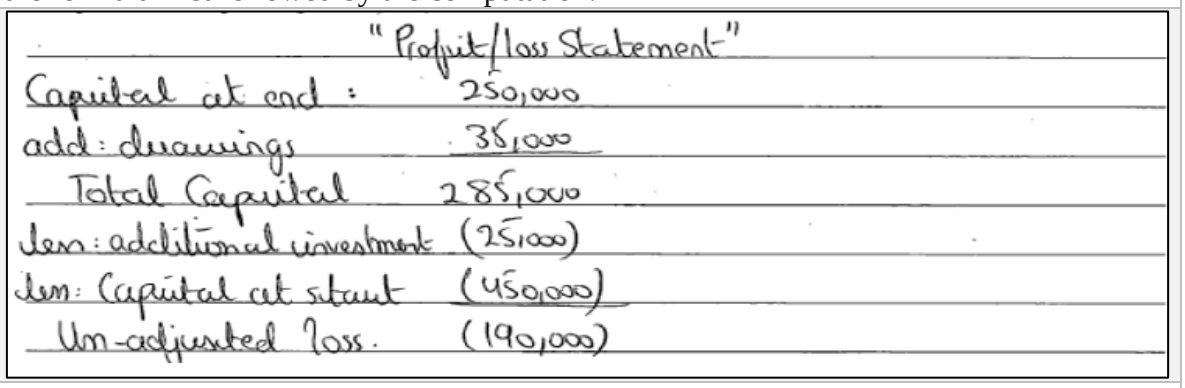
Suggestions for improvement (Highlight all that apply)

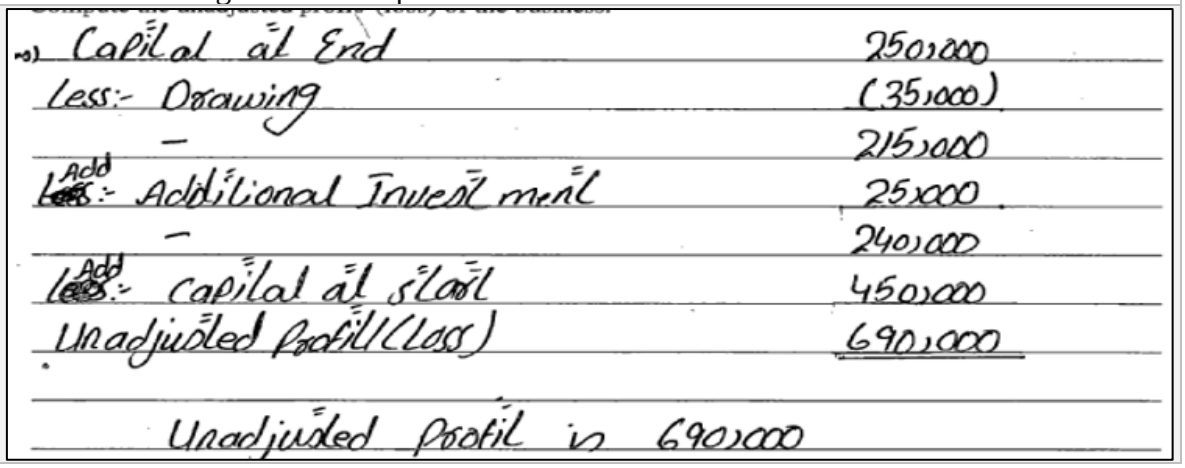
Maximising SLO Achievement	Pedagogy Used for that SLO	Assessment Strategies
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Any Additional Suggestion:

- **Drilling the Cost of Goods Sold Calculation:** Provide extensive practice on the COGS formula: **(Opening Inventory + Net Purchases) - Closing Inventory**. Use exercises that focus solely on this calculation to build accuracy.

Question No. 5

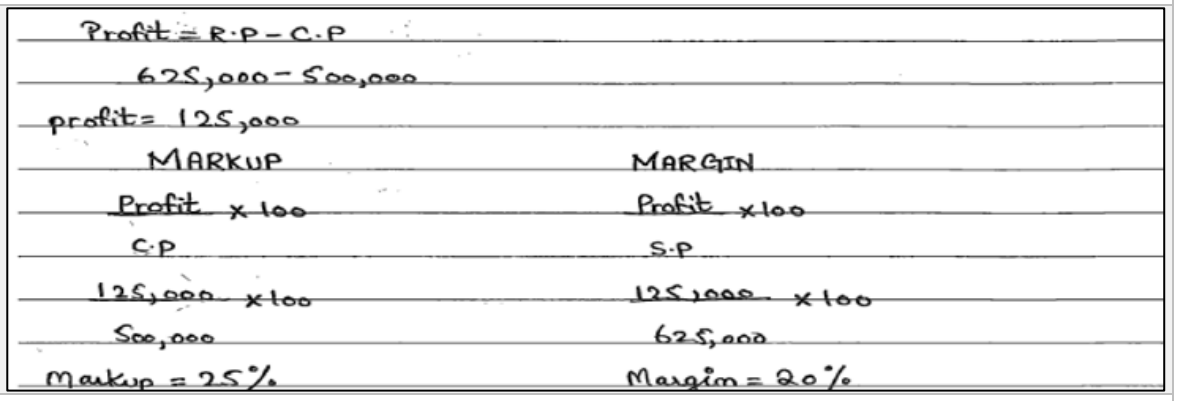
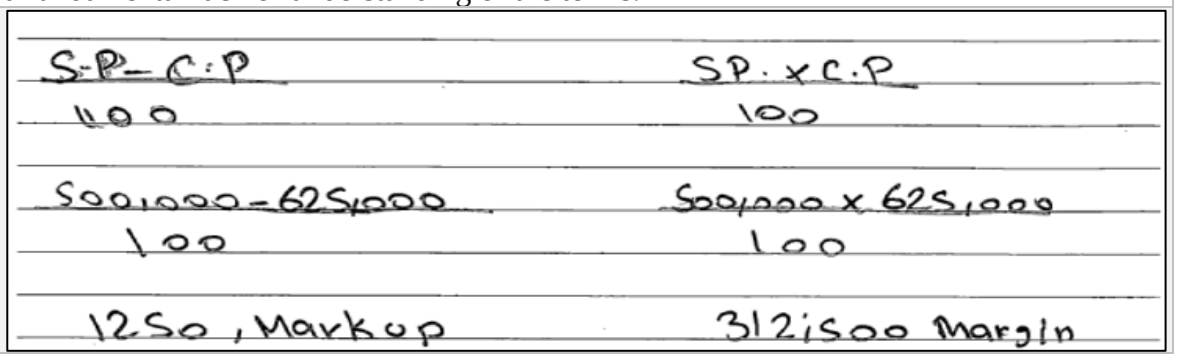
Question Text	The following records are extracted from a business that follows a 'single entry accounting system'. **Particulars** / **Amount** Capital at start — 450,000 Drawing — 35,000 Additional investment — 25,000 Capital at end — 250,000 Compute the unadjusted profit/ (loss) of the business.
SLO No.	8.1.5
SLO Text	Calculate capital at the end and at the start.
Max Marks	5
Cognitive Level	A
Checking Hints	Give ONE mark for capital at end. Give ONE mark for drawing. Give ONE mark for capital at start. Give ONE mark for additional investment. Give ONE mark for computing net loss.
Overall Performance	Performance on this question was satisfactory, indicating that many candidates had a solid grasp of the fundamental capital adjustment formula used in single entry systems. Around half of the cohort successfully applied the correct calculation to determine the unadjusted profit and secured full marks. Only a very small minority of candidates were unable to demonstrate any understanding of the required approach, resulting in no marks. The high success rate suggests this concept was well-understood by most.
Description of Better Responses	*Better responses* correctly identified and applied the standard formula for calculating profit under a single entry system: **Profit/ Loss = (Ending Capital - Beginning Capital) + Drawings - Additional Investment**. They accurately substituted the values: (250,000 - 450,000) + 35,000 - 25,000. They accurately performed the arithmetic, dealing correctly with the negative value from the opening and closing capital difference, to arrive at the correct unadjusted loss of Rs 190,000. Their answers were clearly presented, often showing the formula first followed by the computation.
Image of Better Response	
Description of Weaker Responses	*Weaker responses* revealed a lack of understanding of the underlying accounting equation. The most common error was an incorrect arrangement of the formula elements, such as adding additional investment instead of subtracting it, or subtracting drawings instead of adding them. Many candidates simply subtracted the ending capital from the beginning capital, ignoring the crucial adjustments for drawings and additional capital introduced. This resulted in an incorrect answer of Rs 690,000 loss. Some candidates treated the figures

	randomly, combining them without any logical formula, indicating a complete misunderstanding of the concept.
Image of Weaker Response	

Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	Preferred Pedagogy Used for this SLO	Assessment Strategies
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Any Additional Suggestion:		

Question No. 6	
Question Text	A trader sells merchandise worth of Rs 500,000 at a trade price of Rs 625,000. Compute the profit margin and mark-up.
SLO No.	8.2.4
SLO Text	Retrieve missing figures with the help of mark-up and margin.
Max Marks	4
Cognitive Level	A
Checking Hints	Give ONE mark for showing correct formula of Margin (either by values or by chart of accounts). Give ONE mark to compute correct Margin percentage. Give ONE mark for showing correct formula of Markup (either by values or by chart of accounts). Give ONE mark to compute correct Markup percentage. (Please ignore if students write margin to markup or markup to margin)

Overall Performance	Performance on this question was good, indicating that the concepts of profit margin and mark-up were well understood by a significant majority of the cohort. A large proportion of candidates successfully calculated both ratios correctly and secured full marks. However, a notable minority of candidates struggled with the fundamental definitions and calculations, resulting in no marks. The high success rate suggests effective teaching and comprehension of these key business concepts for most examinees.
Description of Better Responses	*Better responses* demonstrated a clear understanding of the distinction between profit margin (on sales) and mark-up (on cost). They first correctly identified the cost of merchandise (Rs 500,000) and the selling price (Rs 625,000), leading to an accurate calculation of profit (Rs 125,000). They then precisely computed the profit margin as 20% (Profit/ Sales = 125,000/ 625,000) and the mark-up as 25% (Profit/ Cost = 125,000/ 500,000). Answers were well-presented, with formulas shown and calculations clearly labelled.
Image of Better Response	
Description of Weaker Responses	*Weaker responses* revealed confusion between the two ratios. A common error was to calculate the same percentage for both margin and mark-up, typically by using profit over sales for both or profit over cost for both. Some candidates inverted the formulas, incorrectly calculating margin as profit/ cost and mark-up as profit/ sales. Others used incorrect base figures, such as using the selling price as the cost base or failing to compute the profit figure first. A few candidates attempted to apply unrelated formulas, indicating a fundamental lack of understanding of the terms.
Image of Weaker Response	

Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	Preferred Pedagogy Used for this SLO	Assessment Strategies
• Identify the expectation of command words (use Command Word Guide) • Ensure the content is taught at the relevant cognitive level	• Story Board • Cause and Effect • Fish and Bone • Concept Mapping • Audio Visual Resources • Think, Pair and Share • Knowledge Platform videos	• Past paper questions • Discussion on E-Marking Notes

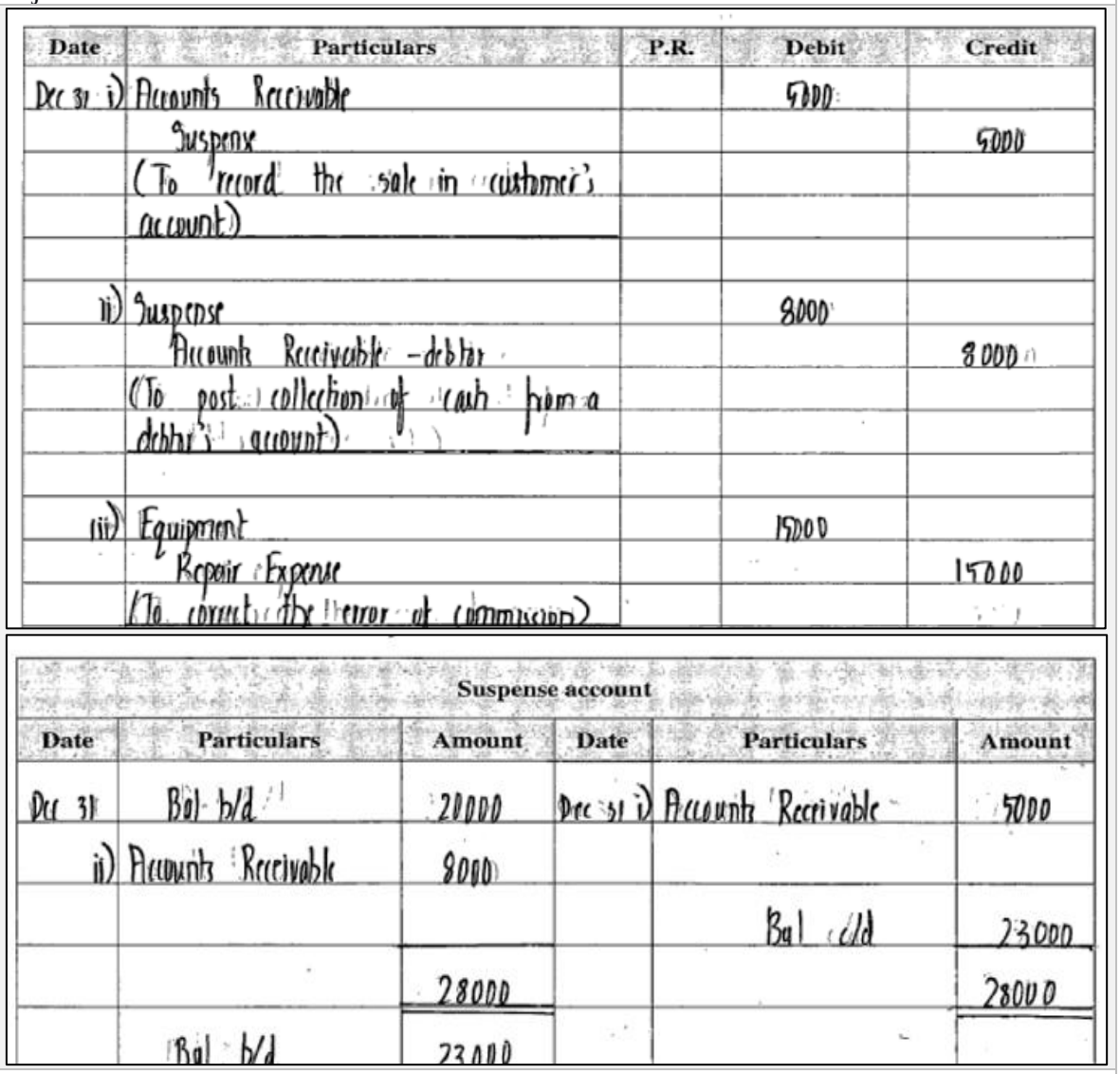
• Identify necessary content required (skills + concepts) • Review past paper questions on the concept • Utilise the resource guide for additional materials	• Questioning Technique (Socratic approach) • Practical Demonstration	

Any Additional Suggestion:

- **Practical Examples and Drills:** Provide numerous practice problems with varying numbers to reinforce the application of each formula. Use real-world scenarios to illustrate the difference and why each ratio is important.
- **Step-by-Step Approach:** Train students to always first calculate the profit figure (Sales - Cost of Goods Sold) before attempting to compute either ratio. Ensure they consistently check that the margin percentage is always less than the mark-up percentage for the same set of numbers.

Question No. 7

Question Text	During the preparation of a trial balance for the year ended December 31st, the accountant of Diamond Traders found that the debit and credit sides did not match. The difference of Rs 20,000 (Dr. balance) was placed temporarily in a suspense account to balance the trial balance. Upon further investigation, the following errors were identified: • A sales invoice of Rs 5,000 was recorded in the sales book but had not been posted to the customer's account. • Cash received of Rs 8,000 from a debtor was correctly recorded in the cashbook but had not been posted to the debtor's ledger account. • An equipment purchase of Rs 15,000 was debited to the repair expense account. a. Post the journal entries to correct these errors. b. Prepare the suspense account balance after the corrections are made.
SLO No.	9.3.5
SLO Text	Exemplify the working of a suspense account.
Max Marks	4
Cognitive Level	A
Checking Hints	Give ONE mark each for correct entry (THREE required). Give ONE mark for correct suspense T-account (Must showing the beginning balance otherwise mark will not be awarded)
Overall Performance	Performance on this question was extremely challenging for the candidates. A very small minority of candidates demonstrated a comprehensive understanding of error correction and suspense account reconciliation, managing to secure full marks. However, a large proportion of the cohort, over two-fifths, were unable to score any marks, indicating widespread difficulty with the technical process of identifying and rectifying errors and their impact on the trial balance and suspense account.
Description of Better Responses	*Better responses* methodically addressed each error with precise correcting journal entries. For the unposted sales invoice, they credited the Suspense Account and debited the Sales Ledger Control Account. For the unposted cash receipt, they debited the Suspense Account and credited the Debtor's Account. For the mis-posted equipment purchase, they debited the Equipment Account and credited the Repairs Expense Account. They then prepared the Suspense Account, starting with the initial Rs 20,000 debit balance, posting the corrections

	affecting it, and correctly calculating the remaining Rs 7,000 debit balance after all adjustments.
Image of Better Response	

Date	Particulars	P.R.	Debit	Credit
Dec 31 i)	Accounts Receivable		5000	
	Suspense			5000
	(To record the sale in customer's account)			
ii)	Suspense		8000	
	Accounts Receivable – debtor			8000
	(To post collection of cash from a debtor's account)			
iii)	Equipment		15000	
	Repair Expense			15000
	(To correct the error of commission)			

Suspense account

Date	Particulars	Amount	Date	Particulars	Amount
Dec 31	Bal b/d	20000	Dec 31 i)	Accounts Receivable	5000
ii)	Accounts Receivable	8000			
				Bal c/d	23000
		28000			28000
	Bal b/d	23000			

Description of Weaker Responses	*Weaker responses* revealed a fundamental lack of understanding of double-entry principles and the purpose of the suspense account. Common errors included incorrect or reversed journal entries for each error, such as debiting instead of crediting suspense. Many candidates failed to use the suspense account altogether in their corrections. A significant number incorrectly attempted to adjust the difference by simply writing off the amount or making erroneous entries that did not address the root errors. Most were unable to construct the suspense account or determine its corrected balance, often leaving it unresolved or with an incorrect final figure.

Image of Weaker Response

Date	Particulars	P.R.	Debit	Credit
1-	Corrected Entry			
	Cash		5,000	
	Sales			5,000
2-	Corrected Entry			
	A/c Receivable		8,000	
	Cash			8,000
3-	Corrected Entry			
	Equipment		15,000	
	Purchases			15,000

Suspense account

Dr Date	Particulars	Amount	Date	Particulars	Cr Amount
	~~Ca~~				
	Suspense/A/c	~~20,000~~			
	cash				
	Suspense ~~account~~	20,000		Cash	20,000

Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	Preferred Pedagogy Used for this SLO	Assessment Strategies
• Identify the expectation of command words (use Command Word Guide) • Ensure the content is taught at the relevant cognitive level • Identify necessary content required (skills + concepts) • Review past paper questions on the concept • Utilise the resource guide for additional materials	• Story Board • Cause and Effect • Fish and Bone • Concept Mapping • Audio Visual Resources • Think, Pair and Share • Knowledge Platform videos • Questioning Technique (Socratic approach) • Practical Demonstration	• Past paper questions • Discussion on E-Marking Notes

Any Additional Suggestion:

- **Error Analysis Framework:** Teach a structured approach to analysing errors: 1) Identify the original error, 2) Determine its effect on the trial balance, 3) Design the correcting entry, using the suspense account if the original error caused an imbalance.
- **Suspense Account Mechanics:** Provide dedicated practice on how and when to use a suspense account. Use T-accounts to visually demonstrate how corrections post to suspense and how it is cleared.

<table>
<tr><th colspan="2">Question No. 8</th></tr>
<tr><td>Question Text</td><td>Identify any FOUR types of accounting errors that do not affect trial balance in the given situations.

(Note: The first one has been done for your reference.)

<table>
<tr><th>S.No</th><th>Situation</th><th>Accounting error</th></tr>
<tr><td>1</td><td>The full transaction is omitted from the books of accounts.</td><td>Error of omission</td></tr>
<tr><td>2</td><td>The correct amount is entered but in the wrong entity.</td><td></td></tr>
<tr><td>3</td><td>The amount is entered in wrong head or class of account.</td><td></td></tr>
<tr><td>4</td><td>The effect on each other is cancelled by two wrongly entered transactions.</td><td></td></tr>
<tr><td>5</td><td>A transaction is recorded correctly with reference to the figure or amount but wrongly marked as debit and credit.</td><td></td></tr>
<tr><td>6</td><td>The amount was wrongly recorded by substituting two or more sequential digits.</td><td></td></tr>
</table>
</td></tr>
<tr><td>SLO No.</td><td>9.2.1</td></tr>
<tr><td>SLO Text</td><td>Explain the errors that do not affect trial balance, i.e. a. error of omission b. error of commission c. error of principle d. error of complete reversal e. error of original entry f. compensating error.</td></tr>
<tr><td>Max Marks</td><td>4</td></tr>
<tr><td>Cognitive Level</td><td>U</td></tr>
<tr><td>Checking Hints</td><td>Give ONE mark each for correct identification of error (FOUR required).</td></tr>
<tr><td>Overall Performance</td><td>Performance on this question was highly varied, reflecting a clear divide in candidates understanding of accounting error classification. An equal proportion of candidates demonstrated complete mastery of the topic by securing full marks, while an identical proportion struggled significantly and were unable to score any marks. This polarisation indicates that the concept is well-understood by some but presents a substantial challenge for others, with the remaining candidates achieving partial success.</td></tr>
<tr><td>Description of Better Responses</td><td>Better responses accurately identified and named the specific type of error for each situation. They correctly identified Situation 2 as an Error of Commission, Situation 3 as an Error of Principle, Situation 4 as a Compensating Error, and Situation 5 as an Error of Complete Reversal. For Situation 6, they correctly identified it as a Transposition Error. Their answers demonstrated precise knowledge of error terminology and a clear understanding of why each error does not cause a trial balance discrepancy.</td></tr>
</table>

Image of Better Response

S.No	Situation	Accounting error
1	**The full transaction is omitted from the books of accounts.**	**Error of omission**
2	The correct amount is entered but in the wrong entity.	Error of commission
3	The amount is entered in wrong head or class of account.	Error of principle
4	The effect on each other is cancelled by two wrongly entered transactions.	Compensating Error
5	A transaction is recorded correctly with reference to the figure or amount but wrongly marked as debit and credit.	
6	The amount was wrongly recorded by substituting two or more sequential digits.	Error of transposition

Description of Weaker Responses

Weaker responses revealed confusion in classifying errors. Common mistakes included misidentifying an Error of Principle as an Error of Commission, or failing to recognise a Compensating Error. Many candidates provided vague or incorrect terms not recognised in accounting, such as "wrong entry error" or "calculation error." Several left blanks or repeated the same error type for multiple situations.

Image of Weaker Response

S.No	Situation	Accounting error
1	**The full transaction is omitted from the books of accounts.**	**Error of omission**
2	The correct amount is entered but in the wrong entity.	Error of transation
3	The amount is entered in wrong head or class of account.	Error of omission
4	The effect on each other is cancelled by two wrongly entered transactions.	Error of transation
5	A transaction is recorded correctly with reference to the figure or amount but wrongly marked as debit and credit.	Error of trasportation
6	The amount was wrongly recorded by substituting two or more sequential digits.	Error of comission

Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	Preferred Pedagogy Used for this SLO	Assessment Strategies
• Identify the expectation of command words (use Command Word Guide) • Ensure the content is taught at the relevant cognitive level • Identify necessary content required (skills + concepts) • Review past paper questions on the concept • Utilise the resource guide for additional materials	• Story Board • Cause and Effect • Fish and Bone • Concept Mapping • Audio Visual Resources • Think, Pair and Share • Knowledge Platform videos • Questioning Technique (Socratic approach) • Practical Demonstration	• Past paper questions • Discussion on E-Marking Notes

Any Additional Suggestion:

- **Clear Definitions and Examples:** Provide precise definitions and multiple practical examples for each type of error that does not affect the trial balance (Omission, Commission, Principle, Compensating, Complete Reversal, Transposition).
- **Focus on Key Characteristics:** Emphasise the distinguishing feature of these errors: their net effect on the debit and credit totals is zero, hence the trial balance still agrees.
- **Comparative Drills:** Use exercises that present pairs of similar transactions—one that affects the trial balance and one that does not—to help students differentiate between error types.

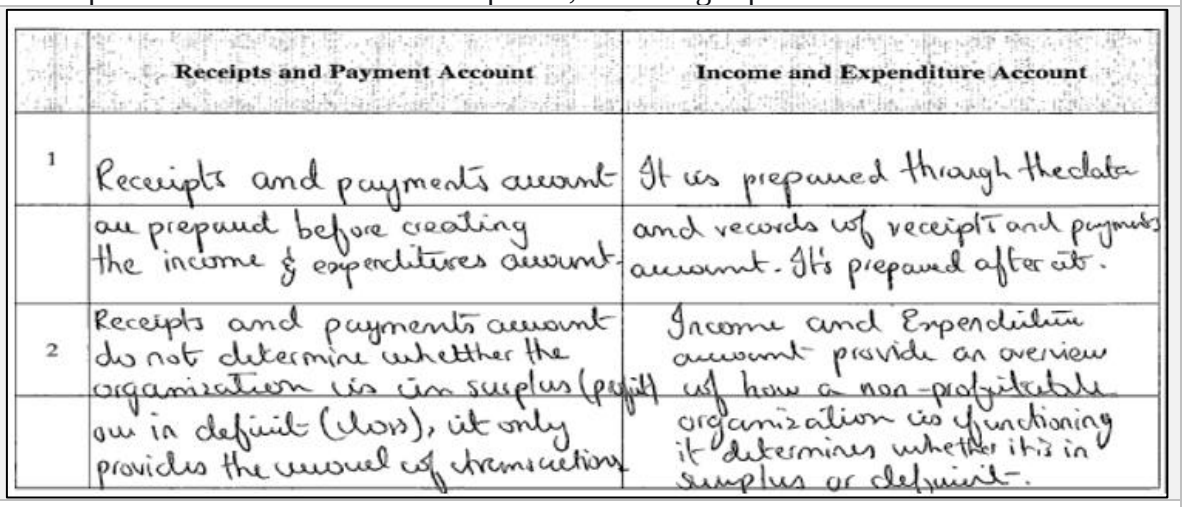
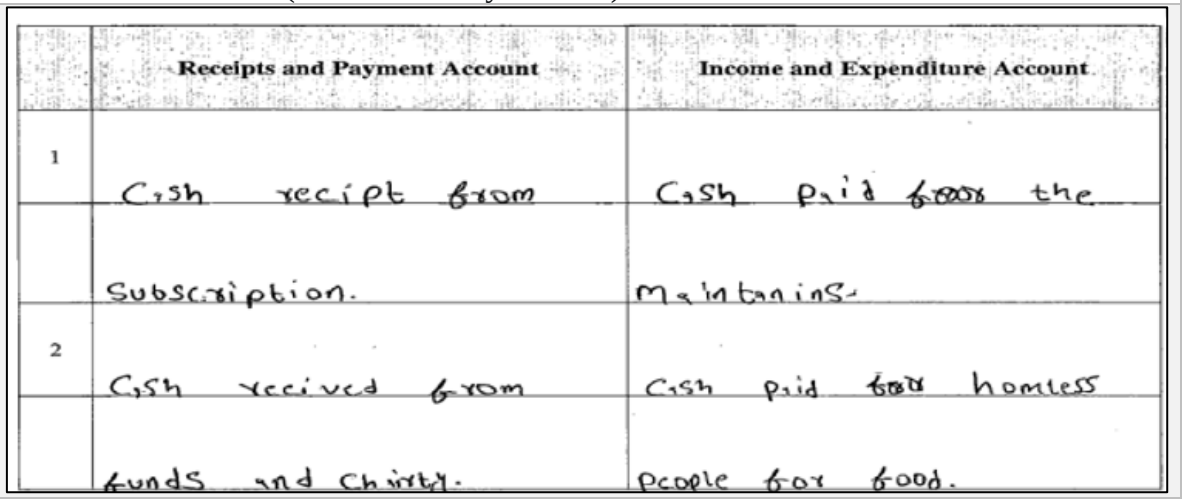
Question No. 9

Question Text

The 'receipts and payment account' and 'income and expenditure account' are the financial records that are used to monitor and report the financial transactions of NPO (non-profit organisation) entity.
Distinguish between the two financial records in TWO points.

	Receipts and Payment Account	Income and Expenditure Account
1		
2		

SLO No.	10.3.4
SLO Text	Differentiate between: a. receipts and payment b. income and expenditure.
Max Marks	4

Cognitive Level	U
Checking Hints	Give ONE mark for each point.
Overall Performance	Performance on this question revealed a moderate level of understanding across the cohort. While a reasonable minority of candidates demonstrated a clear grasp of the distinctions and secured full marks, a larger group found the concept challenging and were unable to score. Most candidates showed partial understanding, able to identify one valid point of distinction but often struggling to articulate a second clear difference. This indicates that the fundamental differences between these two statements are not uniformly well-understood.
Description of Better Responses	*Better responses* provided two clear and distinct points of difference, focusing on the core accounting principles that separate the two statements. Strong answers correctly identified that the **Receipts and Payments Account** is a summary of all cash transactions (both capital and revenue) for a period, prepared on a cash basis, while the **Income and Expenditure Account** is a summary of revenue earnings and expenses, prepared on an accrual basis to determine the surplus or deficit. They also correctly noted that the former includes all cash receipts and payments regardless of period, while the latter accounts only for income earned and expenses incurred for the current period, excluding capital items.
Image of Better Response	
Description of Weaker Responses	*Weaker responses* often provided vague, incomplete, or incorrect distinctions. Common errors included stating that one is "for cash" and the other is "for profit" without explaining the basis of accounting, or confusing the two accounts entirely. Some candidates described them as being "the same" or having "no difference." Others provided points that were not key distinguishing features, such as differences in format or who prepares them, rather than focusing on the fundamental accounting basis (cash vs. accrual) and the nature of transactions recorded (all cash vs. only revenue).
Image of Weaker Response	

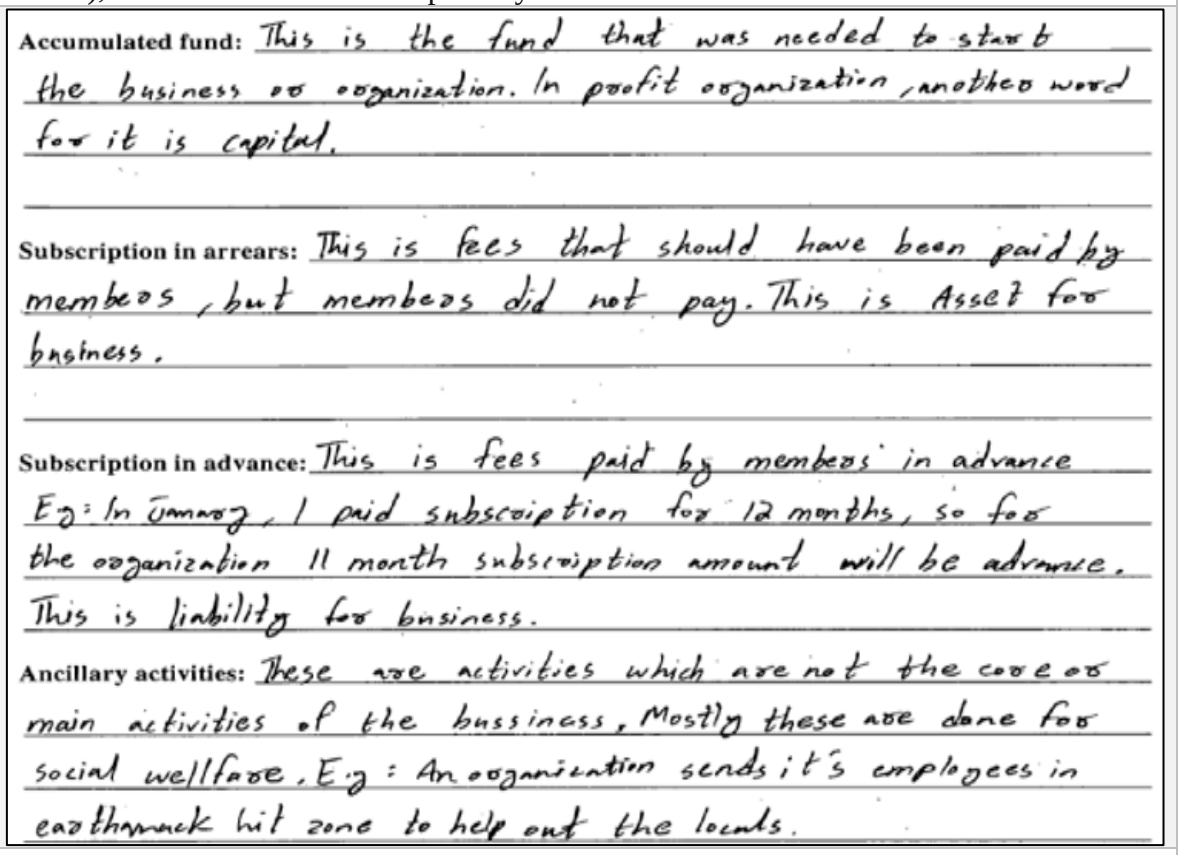
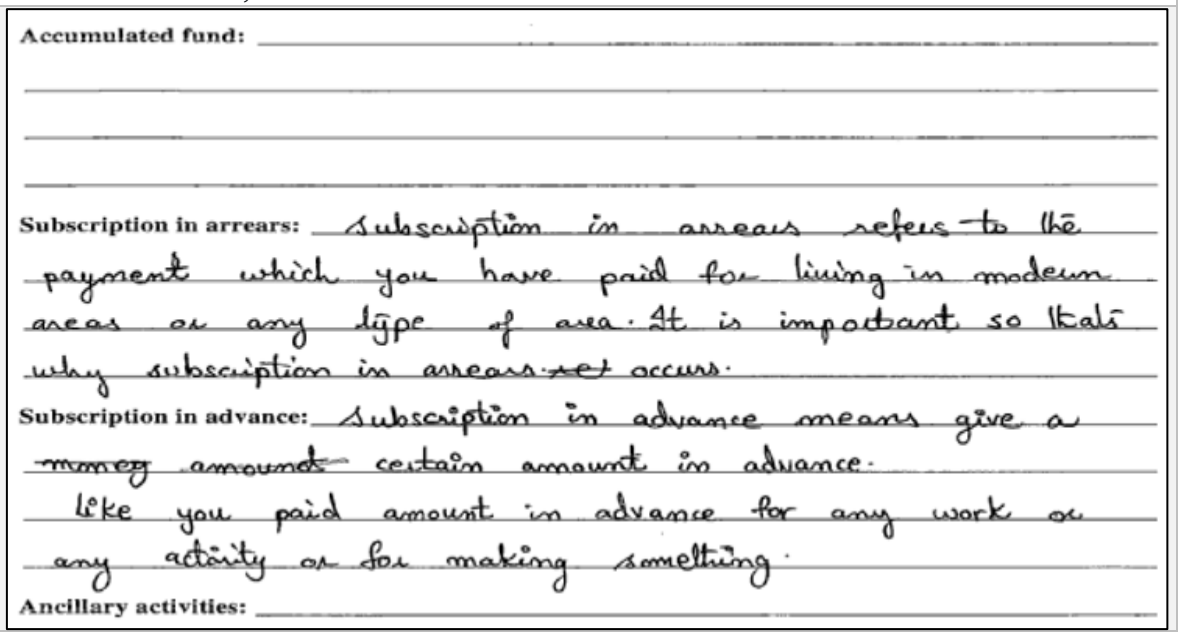
Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	Preferred Pedagogy Used for this SLO	Assessment Strategies
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Any Additional Suggestion:

- **Emphasise the Accounting Basis:** Clearly teach that the key difference is the **cash basis** (Receipts and Payments) versus the **accrual basis** (Income and Expenditure). Use simple analogies to explain the difference between recording cash movements and measuring financial performance.
- **Use Comparative Examples:** Provide a set of transactions and have students classify them into which account(s) they would appear in, and explain why. This practical exercise reinforces the theoretical differences.

Question No. 10	
Question Text	With reference to accounting for NPO (non-profit organisation), explain any TWO given concepts. • Accumulated fund • Subscription in arrears • Subscription in advance • Ancillary activities
SLO No.	10.2.2
SLO Text	Explain the following accounting concepts related to NPOs: a. accumulated fund b. surplus c. deficit d. subscription in arrears e. subscription in advance f. ancillary activities.
Max Marks	4
Cognitive Level	U
Checking Hints	Give ONE mark for mentioning each point and ONE mark for explaining with an example. (TWO required). Note: If student has not given examples then deduct only ONE mark.
Overall Performance	Performance on this question was notably weak, representing one of the most challenging topics for the cohort. Only a very small minority of candidates were able to provide accurate explanations for two concepts and secure full marks. A significant proportion of candidates were unable to demonstrate any understanding of the specified NPO concepts, resulting in no marks. The low success rate indicates that these concepts are not well-understood and require more focused instructional attention.
Description of Better Responses	*Better responses* selected two concepts and provided clear, precise, and technically accurate explanations. For **Accumulated Fund**, they correctly identified it as the capital of a Non Profit Organisation (NPO), equivalent to owner's equity in a for-profit business, calculated as total assets minus total liabilities. For **Subscription in Arrears**, they accurately

	described it as membership fees that are due but not yet received, treated as a current asset. For **Subscription in Advance**, they correctly defined it as fees received for a future accounting period, treated as a liability. For **Ancillary Activities**, they explained these are revenue-generating activities incidental to the main purpose (e.g., cafeteria sales in a school), with income recorded separately.
Image of Better Response	
Description of Weaker Responses	*Weaker responses* revealed a severe lack of knowledge of NPO terminology and accounting practices. Common errors included providing vague, circular, or completely incorrect definitions (e.g., defining accumulated fund as "money in a fund"). Many candidates confused subscription in arrears and in advance, reversing their accounting treatment. Others provided generic accounting definitions not specific to NPOs, or attempted to define concepts not listed in the question. A significant number of responses were left blank or contained minimal, irrelevant information.
Image of Weaker Response	

Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	Preferred Pedagogy Used for this SLO	Assessment Strategies
• Identify the expectation of command words (use Command Word Guide) • Ensure the content is taught at the relevant cognitive level • Identify necessary content required (skills + concepts) • Review past paper questions on the concept • Utilise the resource guide for additional materials	• Story Board • Cause and Effect • Fish and Bone • Concept Mapping • Audio Visual Resources • Think, Pair and Share • Knowledge Platform videos • Questioning Technique (Socratic approach) • Practical Demonstration	• Past paper questions • Discussion on E-Marking Notes

Any Additional Suggestion:

- **Glossary of NPO Terms:** Create and drill a specific glossary of NPO accounting terms, ensuring students understand the unique terminology compared to for-profit accounting.
- **Practical Examples:** Use concrete examples from real-world NPOs (e.g., clubs, charities, schools) to illustrate each concept, making them more relatable and memorable.
- **Comparative Learning:** Explicitly compare and contrast NPO concepts with their for-profit equivalents (e.g., Accumulated Fund vs. Capital; Subscriptions vs. Sales Revenue) to build on prior knowledge and highlight differences.

Annexure A: Pedagogies Used for Teaching the SLOs

Pedagogy: Storyboard
Description: A visual pedagogy that uses a series of illustrated panels to present a narrative, encouraging creativity and critical thinking. It helps learners organise ideas, sequence events, and comprehend complex concepts through storytelling.
Example: In a Literature class, students are tasked with creating storyboards to visually retell a novel. They draw key scenes, write captions, and present their stories to the class, enhancing their reading comprehension and fostering their imagination.

Pedagogy: Cause and Effect
Description: This pedagogy explores the relationships between actions and consequences. By analysing cause-and-effect relationships, learners develop a deeper understanding of how events are interconnected and how one action can lead to various outcomes.
Example: In a History class, students study the causes and effects of the Industrial Revolution. They research and discuss how technological advancements in manufacturing led to significant societal changes, such as urbanisation and labour reform movements.

Pedagogy: Fish and Bone
Description: A method that breaks down complex topics into main ideas (the fish) and supporting details (the bones). This visual approach enhances comprehension by highlighting essential concepts and their relevant explanations.
Example: During a Biology class on human anatomy, the teacher uses the fish and bone technique to teach about the human skeletal system. Teacher presents the main components of the human skeleton (fish) and elaborates on each bone's structure and function (bones).

Pedagogy: Concept Mapping
Description: An effective way to visually represent relationships between ideas. Learners create diagrams connecting key concepts, aiding in understanding the overall structure of a subject and fostering retention.
Example: In a Psychology assignment, students use concept mapping to explore the various theories of personality. They interlink different theories, such as Freud's psychoanalysis, Jung's analytical psychology, and Bandura's social-cognitive theory, to see how they relate to each other.

Pedagogy: Audio Visual Resources
Description: Incorporating multimedia elements like videos, images, and audio into lessons. This approach caters to different learning styles, making educational content more engaging and memorable.
Example: In a General Science class, the teacher uses a documentary-style video to teach about the solar system. The video includes stunning visual animations of the planets, interviews with astronomers, and background music, enhancing students' interest and understanding of space.

Pedagogy: Think, Pair, and Share

Description: A collaborative learning technique where students ponder a question or problem individually, then discuss their thoughts in pairs or small groups before sharing with the entire class. It fosters active participation, communication skills, and diverse perspectives.

Example: In a Literature in English class, the teacher poses a thought-provoking question about a novel's moral dilemma. Students first reflect individually, then pair up to exchange their opinions, and finally participate in a lively class discussion to explore different viewpoints.

Pedagogy: Questioning Technique (Socratic Approach)

Description: Based on Socratic dialogue, this method stimulates critical thinking by posing thought-provoking questions. It encourages learners to explore ideas, justify their reasoning, and discover knowledge through a process of inquiry.

Example: In an Ethics class, the instructor uses the Socratic approach to lead a discussion on the meaning of justice. By asking a series of probing questions, the students engage in a deeper exploration of ethical principles and societal values.

Pedagogy: Practical Demonstration

Description: A hands-on approach where learners observe real-life applications of theories or skills. Practical demonstrations enhance comprehension, skill acquisition, and problem-solving abilities by bridging theoretical concepts with real-world scenarios.

Example: In a Food and Nutrition class, the instructor demonstrates the proper technique for filleting a fish. Students observe and then practice the skill themselves, learning the practical application of knife skills and culinary precision.

(**Note:** The examples provided in this annexure serve as illustrations of various pedagogies. It is important to understand that these pedagogies are versatile and can be applied across subjects in numerous ways. Feel free to adapt and explore these techniques creatively to enhance learning outcomes in your specific context.)

Acknowledgments

The Aga Khan University Examination Board (AKU-EB) acknowledges with gratitude the invaluable contributions of all the dedicated individuals who have played a pivotal role in the development of the Principles of Accounting SSC-II E-Marking Notes.

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